

Purpose

The purpose of this quick reference guide is to step through the process of creating Allowance Pay Codes. The intended audience for this document are system administrators / standard users.

Steps

Create a new Allowance Pay Code record

Pay Codes are applied to Pay Transactions, Payee Allowances and Interpretation Rules processed for an Employee.

The Allowance Pay Code record is used to define the Pay Codes for Allowance payments made to a Payee. The record holds General Information and Pay Code Setup details.

Create an Allowance Pay Code by following the below steps:

1. Click on the **App Launcher** icon (see Figure 1).
2. Go to the **Pay Codes** object by using the Search function (see Figure 2).

Figure 1

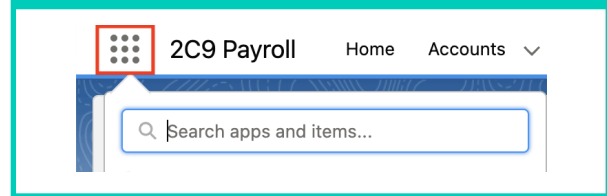
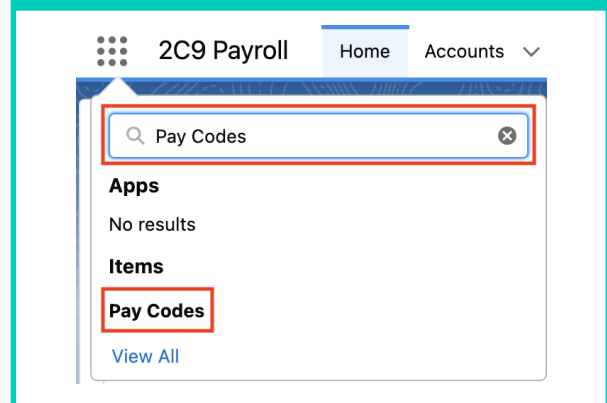
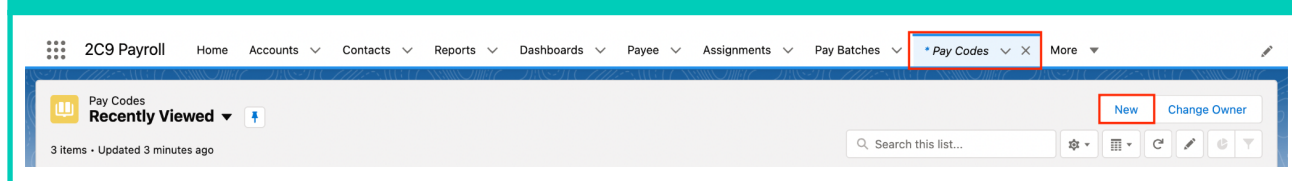


Figure 2



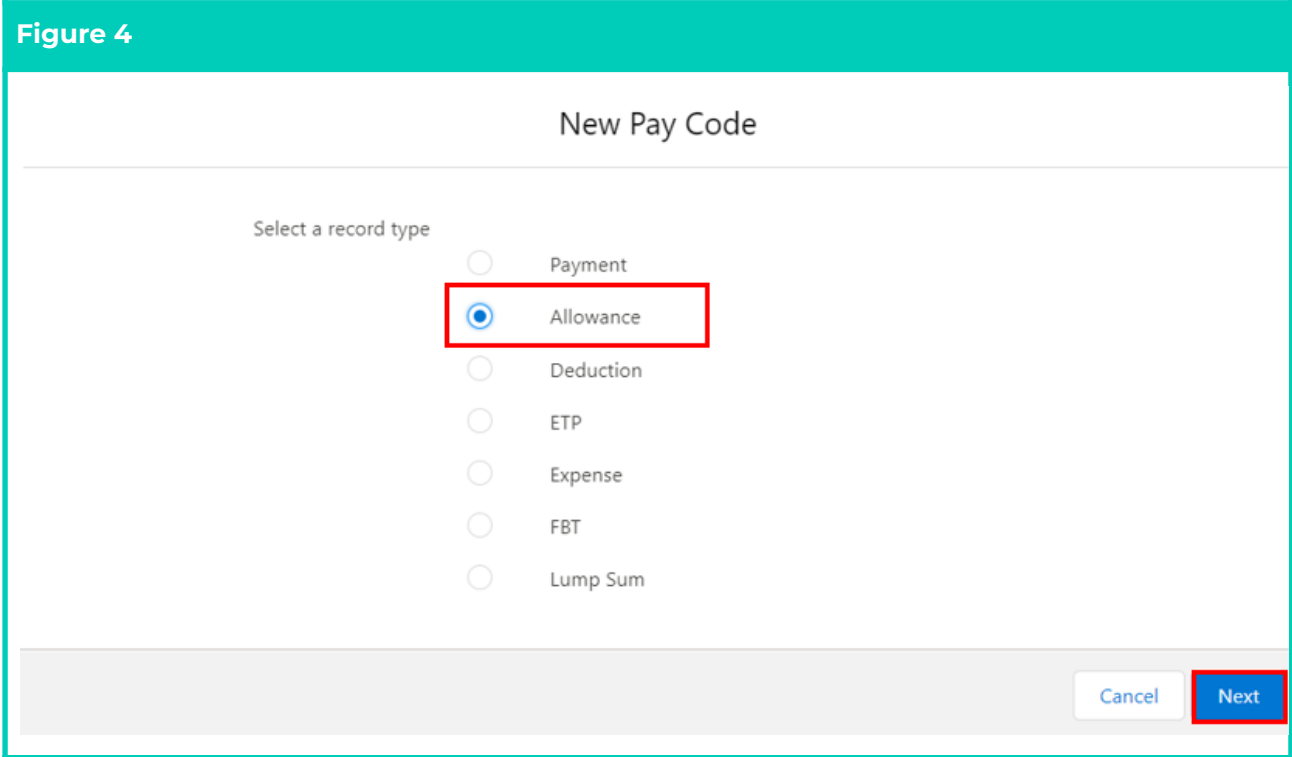
3. Click on the **New** button (see Figure 3).

Figure 3



4. Select **Allowance** from the available record types, and click on the **Next** button (see Figure 4).

Figure 4



The screenshot shows a web form titled "New Pay Code". Below the title is a section labeled "Select a record type" with a list of radio button options: "Payment", "Allowance", "Deduction", "ETP", "Expense", "FBT", and "Lump Sum". The "Allowance" option is selected and highlighted with a red rectangular box. At the bottom right of the form, there are two buttons: "Cancel" and "Next". The "Next" button is highlighted with a red rectangular box.

5. Follow this step in the sequence given below:
- Populate the following required fields to provide the base details of the Allowance Pay Code (see Figure 5):
 - Pay Code Name**
 - Description**
 - Pay Advice Description**
 - Invoice Name**
 - Pay Advice Sort Order**

Figure 5

New Pay Code: Allowance

Information

*** Pay Code Name** ↶

Example Travel Allowance Pay Code

Record Type

Allowance

External ID ?

External Id

*** Description** ? ↶

Example Travel Allowance Pay Code

Pay Advice Description ? ↶

Example Travel Allowance Pay Code

Invoice Name ? ↶

Travel Pay Code

Pay Advice Sort Order ? ↶

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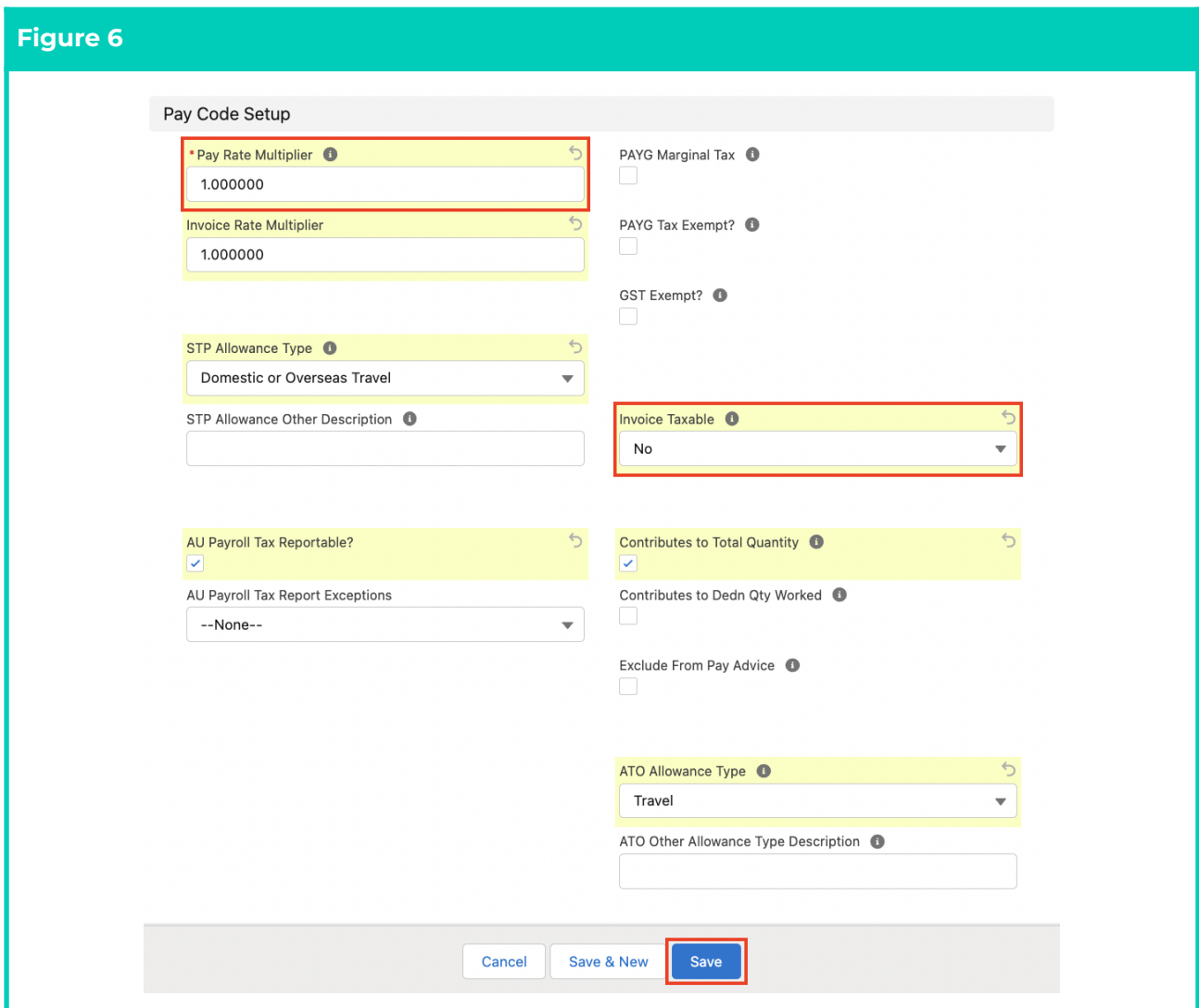
The External ID / External Id fields are available and should only be populated where system integration is required for the record.

- b. Populate the following required fields to provide the base details of the Allowance Pay Code (see Figure 6):
 - i. **Pay Rate Multiplier**
 - ii. **Invoice Taxable**
 - iii. **STP Allowance Type**
- c. Populate the following optional fields as required (see Figure 6):
 - i. To determine the multiplier which should be applied to Invoice Rates using this Pay Code, populate the **Invoice Rate Multiplier** field.
 - ii. If Other is selected for **STP Allowance Type**, you are also required to populate the **STP Allowance Other Description** field with a description of the Allowance Type.
 - iii. If Payroll Tax needs to be reported for Pay Transactions using this Pay Code, check the **AU Payroll Tax Reportable?** checkbox.
 - iv. To apply regional Payroll Tax exemptions for Pay Transactions using this Pay Code, select from the picklist values provided in the **AU Payroll Tax Report Exemptions** field.
 - v. If Marginal Tax should be applied to Pay Transactions using this Pay Code, check the **PAYG Marginal Tax** checkbox.
 - vi. If Pay Transactions associated with this Pay Code are exempt from the taxable

- earnings calculations, check the **PAYG Tax Exempt?** checkbox.
- vii. If Pay Transactions associated with this Pay Code should be exempt from GST, during the Australian Contractor Payroll calculation, populate the **GST Exempt?** field.
 - viii. If Pay Transactions associated with this Pay Code will contribute to the Total Quantity sum during Pay Batch processing, check the **Contributes to Total Quantity** checkbox.
 - ix. To sum the units worked against this Pay Code during Pay Batch Calculation for the purposes of Quantity Based Deduction Calculation, check the **Contributes to Dedn Qty Worked** checkbox.
 - x. To exclude any transactions related to this Pay Code from the standard Pay Advice PDF, check the **Exclude From Pay Advice** checkbox.
 - xi. To determine the ATO Allowance Type, select from the picklist values available in the **ATO Allowance Type** field.
 - If Other is selected, you are also required to populate the **ATO Other Allowance Type Description** field with a description of the Allowance Type.

6. Click on the **Save** button.

Figure 6



Pay Code Setup

* Pay Rate Multiplier ⓘ 1.000000

Invoice Rate Multiplier ⓘ 1.000000

STP Allowance Type ⓘ Domestic or Overseas Travel

STP Allowance Other Description ⓘ

AU Payroll Tax Reportable? ⓘ ☒

AU Payroll Tax Report Exceptions ⓘ --None--

PAYG Marginal Tax ⓘ ☐

PAYG Tax Exempt? ⓘ ☐

GST Exempt? ⓘ ☐

Invoice Taxable ⓘ No

Contributes to Total Quantity ⓘ ☒

Contributes to Dedn Qty Worked ⓘ ☐

Exclude From Pay Advice ⓘ ☐

ATO Allowance Type ⓘ Travel

ATO Other Allowance Type Description ⓘ

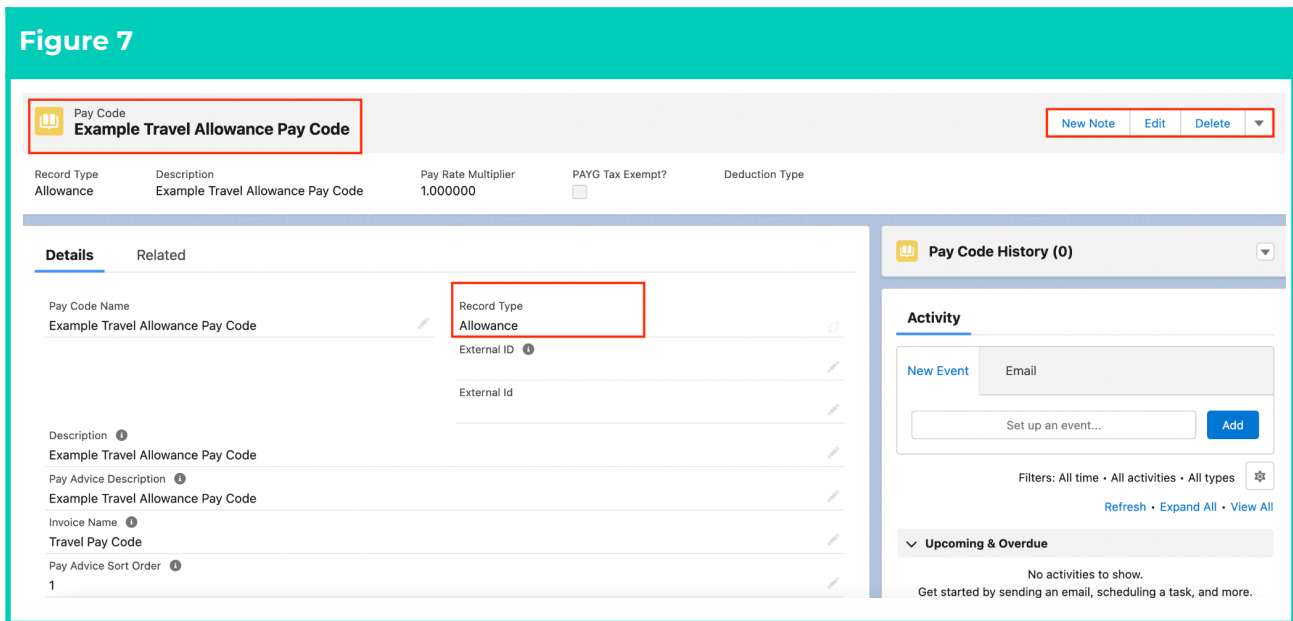
Cancel Save & New **Save**



The Pay Rate Multiplier field is applied to the Pay Rate on the Assignment Rate Record, to determine the Pay Rate to apply on the Pay Transactions.

A new **Allowance Pay Code** is now created (see Figure 7).

Figure 7



The screenshot shows the 'Pay Code' page for 'Example Travel Allowance Pay Code'. At the top, there's a header with 'Pay Code' and 'Example Travel Allowance Pay Code', and buttons for 'New Note', 'Edit', and 'Delete'. Below this is a table with columns: Record Type (Allowance), Description (Example Travel Allowance Pay Code), Pay Rate Multiplier (1.000000), PAYG Tax Exempt? (checkbox), and Deduction Type. The 'Details' tab is active, showing fields like Pay Code Name, Record Type (Allowance), External ID, and Description. The 'Pay Code History' section on the right shows 'Pay Code History (0)' and an 'Activity' section with a 'New Event' button and a text input field.



Allowance Pay Codes CAN NOT be deleted if they have related records or are used in other records. Deleting records is not recommended unless absolutely essential.



A Pay Code can only be edited if it has not already been referenced within Pay Transactions, Interpretation Rules or Payee Allowance records. A new Pay Code will need to be created if updates are required after this point.

- To modify an existing **Allowance Pay Code** record, open the required record and select the **Edit** button available on the top right side of the page. You can also double click within fields that need editing or just click on the pencil icon  that appears within fields when hovering with your cursor.
- When complete, click on the **Save** button.

Field Descriptions

ATO Allowance Type indicates how this allowance Pay Code will be reported during Single Touch Payroll Lodgement processing :

- **Gross** where the Allowance should be added to the Gross Pay for Single Touch Payroll and not reported separately.
- **Car** where the Allowance should be reported separately and categorised under the Car Allowance type, according to the ATO Single Touch Payroll requirements.
- **Laundry** where the Allowance should be reported separately and categorised under the Laundry Allowance type, according to the ATO Single Touch Payroll requirements.
- **Meals** where the Allowance should be reported separately and categorised under the Meals Allowance type, according to the ATO Single Touch Payroll requirements.
- **Other** where the Allowance should be reported separately and categorised under the Other Allowance type, according to the ATO Single Touch Payroll requirements.
- **Transport** where the Allowance should be reported separately and categorised under the Transport Allowance type, according to the ATO Single Touch Payroll requirements.
- **Travel** where the Allowance should be reported separately and categorised under the Travel Allowance type, according to the ATO Single Touch Payroll requirements.

ATO Other Allowance Type Description if the ATO Allowance Type is Other, define the description of the Allowance here.

AU Payroll Tax Reportable? determines if the Pay Code will be considered during 2cloudnine Payroll Tax reporting processing.

AU Payroll Tax Report Exceptions where a Pay Code is reportable for Payroll Tax, list any localities here where the Pay Code is considered not reportable.

Contributes to Dedn Qty Worked indicates whether the units worked of this Pay Code will be summed during Pay Batch Calculation for the purpose of Quantity Based Deduction Calculation.

Contributes to Total Quantity indicates whether this Pay Code record contributes to the Total Quantity sum displayed in Pay Batch Manager and in Payee Pay Batch records.

Description is the description of this Pay Code.

Exclude From Pay Advice indicates that any transactions related to this Pay Code will not be displayed on the standard Pay Advice PDF.

External ID / External Id defines the ID of the corresponding record in an external system that has been used to create/update this record.

GST Exempt? When set to true any Pay Transactions using this Pay Code will not attract GST during Australian Contractor Payroll calculation.

Invoice Name defines the Name that will be used on Invoices for the Pay Code, and can only be a maximum of 15 characters. If not populated and if the Pay Code is used in Invoices, it will be blank.

Invoice Rate Multiplier is the multiplier which will be applied to Invoice Rates using this Pay Code.

Invoice Taxable indicates if the Pay Code should have tax applied to the invoice.

Pay Advice Description is the description that will be displayed to a Payee on their Pay Advice PDFs for any Pay Transactions related to this Pay Code.

Pay Advice Sort Order defines the order in which pay codes will be displayed on Pay Advice PDFs

Pay Code Name is the name given to the Pay Code record that is being created.

PAYG Marginal Tax indicates whether marginal taxation should be applied during the Pay Batch Calculation of Pay Transactions using this Pay Code.

PAYG Tax Exempt indicates whether Pay Transactions using this Pay Code will count toward the taxable earnings or the non-taxable earnings of the Payee.

Pay Rate Multiplier is the multiplier which will be applied to Pay Transactions using this Pay Code.

STP Allowance Type defines how this allowance Pay Code will be reported in STP Phase 2.

STP Allowance Other Description defines what description will be reported in STP Phase 2 when the STP Allowance Type is Other.

Further Information

Document	Document Type	Description
Create Pay Codes - Deduction Pay Codes	Task Instructions	How to create Deduction Pay Codes
Create Pay Codes - Expense Pay Codes	Task Instructions	How to create Expense Pay Codes
Create Pay Codes - ETP Pay Codes	Task Instructions	How to create ETP Pay Codes
Create Pay Codes - Lump Sum Pay Codes	Task Instructions	How to create Lump Sum Pay Codes
Create Pay Codes - Payment Pay Codes	Task Instructions	How to create Payment Pay Codes